Example 39: Digital identity

On the problem of digital identity, [2] the pillars are regulating and producing. It is possible to envision multiple private persons who produce identity services. It is also possible to think of a public sector enterprise (possibly even a monopoly) that engages in production. Regardless of how production is organized, there are regulatory problems associated with regulation of monopolistic pricing, fair play to users, privacy, etc. In the case of identity infrastructure, monopolistic production creates a single point of failure, which is an unwise design strategy.

In the Unique Identity Authority of India (UIDAI), we have merged a monopoly public sector producer with a regulatory function. This leads to concerns about the extent to which the regulatory function will be performed properly. Monopolistic, taxpayer-financed public sector production also closes the possibilities for technological change and competition.

Example 40: Bond market

RBI owns and operates the bond depository, the subsidiary general ledger (SGL).

RBI owns and operates the bond exchange, the NDS.

RBI is the regulator of the bond market.

RBI is a player on the bond market.

The conflicts introduced by these functions have induced poor performance. For a contrast, SEBI regulates the equity exchange infrastructure, NSE and Bombay Stock Exchange (BSE) are the exchanges, and NSDL/Central Depository Services Limited (CDSL) are the depositories. SEBI does not trade on the exchanges. This has laid a better foundation, and helps explain the difference between the Indian story of the equity market versus the bond market.